The Annual Report

The primary and most important source of information about a company is its Annual Report. By law, this is prepared every year and distributed to the shareholders.

Annual Reports are usually very well presented. A tremendous amount of data is given about the performance of a company over a period of time. Multicoloured bar and pie charts are presented to illustrate and explain the growth of the company and the manner in which the revenues earned have been utilized. There are pictures of the factories; of newly acquired machines; of the Chairman cutting a ribbon and of the Board of Directors looking responsible.

The average shareholder looks no further. If an Annual Report is impressive, if the company has made a profit and if a reasonable dividend has been paid, he is typically content in the belief that the company is in good hands.

This must not be the criteria by which to judge a company. The intelligent investor must read the annual report in depth; he must read between and beyond the lines; he must peep behind the figures and find the truth and only then should he decide whether the company is doing well or not.

The Annual Report is broken down into the following specific parts:

1. The Directors' Report,
2. The Auditor's Report,
3. The Financial Statements, and
4. The Schedules and Notes to the Accounts.

Each of these parts has a purpose and a tale to tell. The tale should be heard.

The Directors' Report

The Directors' Report is a report submitted by the directors of a company to its shareholders, advising them of the performance of the company under